# CORPORATE GOVERNANCE

Mindteck (India) Limited ('Mindteck' or 'the Company') is committed to ethical corporate practices based on conscience, openness, fairness, professionalism and accountability, for the benefit of its stakeholders and for long-term success. At Mindteck, we believe in maintaining the highest standards of corporate governance, not only in form but also in substance.

Over the years, our Company has ensured compliance of statutory requirements, effective governance systems and practices, and has worked towards transparency, disclosures, internal controls and promotion of ethics within the Company. The corporate governance philosophy of the Company has been further strengthened with the adoption of the Code of Business Conduct and Ethics Policy, Whistle Blower Policy, Human Rights and Labor Policy, Confidential Information and IP Protection Policy and Procedure, Code of Conduct for Prohibition of Insider Trading, etc.

We comply with Clause 49 of the Listing Agreement and substantially comply with the Corporate Governance Voluntary Guidelines. In accordance with Clause 49 of the Listing Agreement with the Bombay Stock Exchange (BSE) in India, a report containing the details of the governance system and processes at the Company is as under:

## I COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

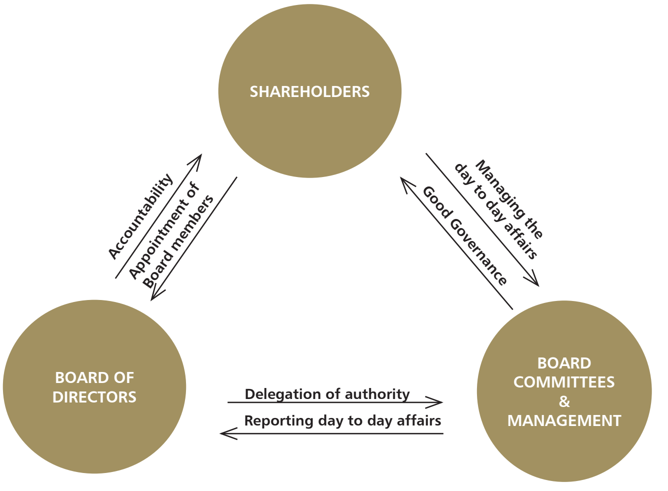
The Company's philosophy on Corporate Governance envisages attainment of highest levels of transparency, accountability and equity in all facets of its operations and in all its transactions with its stakeholders, including its employees, customers, shareholders, vendors, supporting agencies, Government, and society at large.

The Management aims to achieve its objective of increasing stakeholder's value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring Corporate Governance within the Company rests with the Board of Directors ('the Board'), which has put in place appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and applicable SEBI Regulations. Keeping in view the Company's size, complexity, global operations and corporate traditions, Mindteck has adopted the following main principles and philosophies:

- Constitution of the Board of the Company with members of appropriate composition, size and expertise.
- Complete transparency in our operations.
- Timely and balanced disclosure of all material information concerning the Company to its stakeholders.
- Maintaining prescribed levels of disclosure and complete openness in communication.
- Independent verification and safeguarding integrity of the Company's financial reporting.
- A sound system of risk management and internal control.
- Comply with applicable laws of all countries in which we operate.
- Maintain high standards of safety and health.
- Adhere to good governance practices in spirit and not just in letter.

## II THE GOVERNANCE STRUCTURE AT MINDTECK




The governance mechanism adopted at Mindteck:

(i) The Board is appointed by the shareholders and is vested with responsibility of conducting the affairs of the Company with the objective of maximization of returns to all stakeholders.

(ii) The Board of Directors is responsible for the vision, strategy and good governance of the Company. The Board and Committees ensure accountability and transparency in the affairs of the Company to the stakeholders by directing and controlling the management activities.

(iii) The Managing Director & CEO and Senior Management are responsible for setting up of business targets and day to day management of the Company in line with the objectives and principles set by the Board.

## A. GOVERNANCE BY THE BOARD OF DIRECTORS

**Composition:**

The Board of Directors ('the Board') is at the core of our Corporate Governance practice and oversees how the management serves and protects the long-term interests of all our stakeholders. The Company's Board has an optimum combination of Executive, Non-Executive and Independent Directors with considerable experience in their respective fields to maintain the independence of the Board and to separate the functions of the Board from the management of the Company. As a matter of good Corporate Governance, to promote balance of power and as suggested in the Voluntary Corporate Governance Guidelines, we have segregated the offices of Chairman and Chief Executive Officer. There is a clear demarcation in the roles and responsibilities of the Chairman of the Board and that of the Managing Director & CEO.

As at March 31, 2012 the Company has six Directors, of which four Directors are Non-Executive and Independent, as defined in Clause 49 of the Listing Agreement. The Managing Director & CEO manages the day-to-day affairs of the Company. The Board believes that the current size is appropriate, based on the present circumstances. The Board periodically evaluates the need for change in its composition and size.

None of the Directors on the Board hold directorships more than the statutory maximum limit as prescribed under the Act, Clause 49 of the Listing Agreement and the Voluntary Corporate Governance Guidelines. Thus, none of the Directors on the Board are members of more than 10 Committees or act as Chairman of more than five Committees across all companies, in which they are Directors.

The names and categories of the Directors on the Board, directorships and shareholdings are given below:

| Director | Designation & Category | Age | Equity Shareholding | No. of Directorship* | | Committees | |
|---|---|---|---|---|---|---|---|
| | | | | Public | Private | Chairman | Member |
| Mr. Wayne Berkowitz[(1)] | Managing Director & CEO | 52 | Nil | - | - | - | - |
| Mr. Pankaj Agarwal[(2)] | Non-Executive Director | 49 | 1,199,900 (4.82%) | - | - | - | - |
| Mr. Vivek Malhotra[(3)] | Independent, Non-Executive Director | 49 | Nil | - | 1 | - | - |
| Mr. Indresh Narain | Independent, Non-Executive Director | 67 | Nil | 3 | - | 2 | 1 |
| Mr. Javed Gaya | Independent, Non-Executive Director | 56 | Nil | 1 | 6 | 1 | - |
| Mr. Narayan A. Menon[(4)] | Independent, Non-Executive Director | 63 | Nil | - | - | - | - |

* Excluding Directorship in Mindteck (India) Limited and Directorship in Foreign Companies.

(1) Appointed as Managing Director & CEO w.e.f. February 6, 2012.
(2) Resigned as Managing Director & CEO w.e.f. February 6, 2012 and resigned as Director w.e.f March 31, 2012.
(3) Resigned as Director w.e.f. May 9, 2012.
(4) Appointed as Additional Director w.e.f. September 30, 2011.

All the Independent Directors furnish to the Company a declaration at the time of their appointment that they qualify the test of Independence as laid down in Clause 49 of the Listing Agreement and certify annually regarding their independence. The process of selection of Independent Directors is rigorous, transparent and objective and is aligned with the needs of the Company. None of the Non-Executive/Independent Directors have any material pecuniary relationship or transactions with the Company. None of Non-Executive/Independent Directors served on the Board of any company for more than nine years.

**Board's Definition of Independent Directors:**

The Company has defined the independence as stipulated under Clause 49 of the Listing Agreement. Accordingly, an Independent Director means a person who is not an officer or employee of the Company or its subsidiaries or any other individual having a material pecuniary relationship or transaction with the Company which, in the opinion of our Board of Directors, would interfere with the exercise of independent judgment in carrying out the responsibilities of a Director.

**Board Meetings:**

The Board meets once in a quarter and additionally as and when required. The calendar of the Board meetings is decided in consultation with the Board and the schedule of meetings is communicated to all Directors in advance to enable them to schedule their effective participation during the Board meetings. The items in the Agenda are backed by comprehensive background information to enable the Board to take appropriate decisions. In addition to the information required under Annexure IA to Clause 49 of the Listing Agreement, the Board is also kept informed of major events/ items and approvals taken wherever necessary.

The Board met five times in the financial year 2011-2012, on May 13, 2011, August 11, 2011, September 22, 2011, November 10, 2011 and February 2, 2012.

**Remuneration:**

During the year 2011-2012, no remuneration or sitting fee was paid to the Managing Director and CEO. The Company paid sitting fees of Rs. 20,000 per meeting to its Non-Executive Directors for attending meetings of the Board and Rs. 10,000 for attending Committee meetings.

Details of attendance of the Directors and sitting fees paid to them are as follows:

| Name of the Director | No. of Board Meetings during 2011-12 | | Whether attended last AGM held on September 22, 2011 | Sitting fees for Board and Committee meetings (in Rs.) |
|---|---|---|---|---|
| | Held | Attended | | |
| Mr. Wayne Berkowitz(1) | 5 | 0 | No | Nil |
| Mr. Pankaj Agarwal(2) | 5 | 5* | Yes | Nil |
| Mr. Vivek Malhotra(3) | 5 | 4 | Yes | 140,000 |
| Mr. Indresh Narain | 5 | 4 | No | 170,000 |
| Mr. Javed Gaya | 5 | 3 | No | 130,000 |
| Mr. Narayan A. Menon(4) | 5 | 2 | No | 60,000 |

* Attended one meeting through videoconferencing.

(1) Appointed as Managing Director & CEO w.e.f. February 6, 2012.
(2) Resigned as Managing Director & CEO w.e.f. February 6, 2012 and resigned as Director w.e.f. March 31, 2012.
(3) Resigned as Director w.e.f. May 9, 2012.
(4) Appointed as Additional Director w.e.f. September 30, 2011.

**Non-Executive/Independent Director's Remuneration:**

The members at the Annual General Meeting of the Company on August 11, 2010, approved the payment of commission to the Non-Executive Directors within the ceiling of 1% of the net profits of the Company as computed under the applicable provisions of the Companies Act, 1956. The amount of the said commission will be decided each year by the Board of Directors and distributed amongst the Non-Executive Directors. However, no commission has been paid to Non-Executive/ Independent Directors of the Company during the current year. The Company also reimburses the out-of-pocket expenses incurred by the Directors for attending the Meetings.

**Shares and options held by Non-Executive and Independent Directors:**

None of the Independent Directors hold shares or options in the Company. Mr. Pankaj Agarwal, who resigned from the Company w.e.f. March 31, 2012 held 1,199,900 shares in the Company. The Company has not granted any options to Mr. Pankaj Agarwal.

**Proceedings of Board Meetings:**

The agenda items for the Board meetings are decided in advance in consultations with heads of various functions and the Managing Director & CEO and circulated amongst the Board for their revision. Every Board member can suggest additional items for inclusion in the agenda. Managers who can provide additional insights into the items being discussed in the Board Meetings are also invited for the Board Meetings. The decisions taken at the Board Meetings are promptly communicated to all concerned departments for the completion of the action items arising out of the deliberations of the meeting. Report on the action items are placed before the Board at their succeeding meeting.

**Information and updates to Board of Directors:**

- Annual operating plans and budgets, including capital budgets and any updates.
- Quarterly results for the Company and its operating divisions or business segments.
- Minutes of meetings of audit committee, other committees of the Board and subsidiaries.
- The information on recruitment and remuneration of senior officers.
- Show cause, demand, prosecution notices and penalty notices, which are materially important, if any.
- Fatal or serious accidents, dangerous occurrences, any material effluent or pollution problems, if any.
- Any material default in financial obligations to and by the Company, or substantial non-payment for services rendered by the Company, if any.
- Any issue, which involves possible public or product liability claims of substantial nature, including any judgment or order which, may have passed strictures on the conduct of the Company or taken an adverse view regarding another enterprise that can have negative implications on the Company, if any.
- Details of any joint venture or collaboration agreement or acquisition, if any.
- Transactions that involve substantial payment towards goodwill, brand equity or intellectual property, if any.
- Significant labor problems and their proposed solutions. Any significant developments on the Human Resources/ Industrial Relations front, like signing of wage agreements, implementation of Voluntary Retirement Schemes, etc, if any.
- Sale of material nature, of investments, subsidiaries, assets, which is not in normal course of business, if any.
- Quarterly details of foreign exchange exposures and the steps taken by management to limit the risks of adverse exchange rate movement, if material.

- Non-compliance of any regulatory, statutory or listing requirements and shareholders service such as non-payment of Dividend, delay in share transfers, if any.

All the information to be provided to the Board as per Annexure-1A of Clause 49 of the Listing Agreement was made available to the Board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company's Management on quarterly basis. In cases of business exigencies, resolutions of the Board are passed by circulation.

**Recording minutes of proceedings at Board and Committee Meetings:**

The Company Secretary records the Minutes of the proceedings of each Board and Committee Meetings. Draft minutes are circulated to all the members of the Board/Committee Meetings for their comments. The minutes are entered in the Minutes book immediately on approval and signed.

**Post meeting follow up mechanism:**

The important decisions taken at the Board/Committee meetings are communicated promptly to the concerned departments/divisions. Action taken report on the decisions/minutes of the previous meeting(s) is placed at the immediately succeeding meeting of the Board/Committee for noting and taking on record. Thus, an effective post meeting follow up, review and reporting of the decisions taken at the Board/Committee meetings is ensured.

## B. GOVERNANCE BY SUB-COMMITTEES OF THE BOARD OF DIRECTORS

Your Company has the following committees of Board of Directors:

(i) Audit Committee

(ii) HR and Compensation Committee

(iii) Shareholders/Investors Grievance Committee

(iv) Corporate Governance Committee

(v) Administration Committee

### (i) Audit Committee

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, 1956 which has all the necessary features as required by the Listing Agreement.

**(a) Composition:**

| | |
|---|---|
| Vivek Malhotra(1) | - Chairman (Independent Director) |
| Indresh Narain | - Member (Independent Director) |
| Javed Gaya | - Member (Independent Director) |
| Narayan A. Menon(2) | - Member (Independent Director) |

(1) Resigned as Director w.e.f. May 9, 2012.
(2) Appointed as Member of the Committee w.e.f. September 30, 2011.

Ms. Usha T N, Company Secretary, acts as the Secretary of the Audit Committee.

**(b) Objective/Powers:** Powers of Audit Committee include:

(i) To investigate any activity within its responsibilities.

(ii) To have independent back office support and other resources from the Company.

(iii) To have access to information contained in the records of the Company or from any employee.

(iv) To obtain legal or professional advice from external sources.

(v) To have the facility of separate discussions with both internal and external auditors as well as the management.

(vi) To secure attendance of outsiders with relevant expertise, if it considers necessary.

**(c) Roles and Responsibilities:**

(i) Recommend the appointment, re-appointment and removal of external auditor, internal auditor, approve terms of engagement, including fixation of audit fee and also approve the payment for any other services. Committee shall review and monitor the external auditor's independence and objectivity and the effectiveness of the audit process.

(ii) Review financial reporting process and the disclosure of financial information of the Company and also subsidiaries to ensure that the financial statement is correct, sufficient and credible. Also monitor the integrity of the financial statements of the Company.

(iii) Review with management the quarterly and annual financial statements before submission to the Board, focusing primarily on:

- Any changes in accounting policies and practices and reasons for the same.
- Major accounting entries based on exercise of judgment by management.
- Qualifications in draft audit report.
- Significant adjustments arising out of audit.
- The going concern assumption.
- Compliance with accounting standards.
- Compliance with stock exchange and legal requirements concerning financial statements.
- Management discussion and analysis of financial conditions and results of operations.
- Director's responsibility statement.

(iv) Review, with management, the statement of uses/application of funds raised through an issue (i.e. Public issue, rights issue, preferential issue, etc.), the statement of funds utilized for the purposes other than those stated in the offer documents/prospectus/notice and the report submitted by the monitoring agency which monitors the utilization of proceeds of the public/rights issue as well as recommend to the Board the steps to be taken in this regard.

(v) Review the adequacy of internal control systems and review internal audit reports, management letters relating to internal control weaknesses, if any.

(vi) Review the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit.

(vii) Discussion, reviewing and follow up the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature, including management override of internal controls and financial irregularities involving management team members.

(viii) Discussions with external auditors before the audit commences, about the nature and scope of audit, as well as have post-audit discussions to ascertain any areas of concern.

(ix) Review the Company's financial and risk management policies and systems. Assist executive management to identify the risk impacting the Company's business and document the process of risk identification, risk minimization and risk optimization as a part of risk management policy.

(x) Look into the reasons for substantial defaults in the payment to depositors, debenture holders, shareholders (in case of nonpayment of declared dividends) and creditors, and monitor utilization of funds raised through public and preferential issues.

(xi) Review the functioning of the Whistle Blower mechanism established in the Company.

(xii) Approve the appointment of the CFO (i.e., the whole-time Finance Director or any other person heading the finance function or discharging that function) after assessing his qualifications, experience and background.

(xiii) Monitor and approve all Related Party Transactions including any modification/amendment, with promoters or the management, their subsidiaries or relatives, etc. that may have potential conflict with the interests of the Company at large, and periodically revive minutes of subsidiary companies.

(xiv) Any other matter referred to the Audit Committee by the Board of Directors of the Company.

**(d) Meetings:** The Audit Committee meeting was conducted four times during the year on May 13, 2011, August 11, 2011, November 10, 2011 and February 1, 2012. The minutes of the meetings are placed before the Board at the succeeding Board Meeting for information. The quorum for the Committee is two members or one-third of its members, whichever is higher. Quorum was present at all the meetings.

Attendance Record in Audit Committee Meetings held during the year, are given below:

| Members | No of meetings | |
|---|---|---|
| | Held | Attended |
| Mr. Vivek Malhotra, Chairman(1) | 4 | 4* |
| Mr. Indresh Narain | 4 | 4 |
| Mr. Javed Gaya | 4 | 3 |
| Mr. Narayan A. Menon(2) | 4 | 2 |

* Attended one meeting through videoconferencing.
(1) Resigned as Director of the Company w.e.f. May 9, 2012.
(2) Appointed as Member of the Audit Committee w.e.f. September 30, 2011.

**(ii) HR & Compensation Committee**

**(a) Composition:**

Narayan A. Menon(1) - Chairman (Independent Director)

Javed Gaya - Member (Independent Director)

Pankaj Agarwal(2) - Member (Non-Executive Director)

Wayne Berkowitz(3) - Member (Managing Director & CEO)

(1) Appointed as member and Chairman of the Committee w.e.f. September 30, 2011.
(2) Resigned as Managing Director & CEO w.e.f. February 6, 2012 and resigned as Director w.e.f March 31, 2012.
(3) Appointed as member of the Committee w.e.f. May 5, 2012.

**(b) Powers/Roles:** The Terms of reference of the HR & Compensation Committee include the following:

(i) To decide on all matters relating to the Company's stock option/share purchase schemes including the grant of options/shares to the Directors and employees of the Company and/or of its subsidiaries.

(ii) To determine and make suitable recommendations to the Board in all matters relating to qualification, appointment, evaluation and remuneration of the Non-Executive Directors of the Board, Executive Directors of the Company and its managerial personnel under the Companies Act, 1956.

(iii) To review performance and determine the remuneration payable to Executive Directors.

(iv) Establishment and administration of employee compensation and benefit plans.

(v) To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/listing agreements, etc.

As the HR & Compensation Committee is responsible for all the objectives of the Nomination Committee as suggested under Voluntary Corporate Governance Guidelines, no separate Nomination Committee has been constituted by the Company.

**(c) Meetings:** The Committee held one meeting during the year, on August 11, 2011.

Attendance Record in HR & Compensation Committee meetings held during the year, are given below:

| Members | No of meetings | |
|---|---|---|
| | Held | Attended |
| Mr. Javed Gaya | 1 | 1 |
| Mr. Pankaj Agarwal(1) | 1 | 1 |
| Mr. Narayan A. Menon(2) | 1 | - |
| Mr. Wayne Berkowitz(3) | - | - |

(1) Resigned as Managing Director & CEO w.e.f. February 6, 2012 and as Director w.e.f. March 31, 2012.
(2) Appointed as a Member of the Committee w.e.f. September 30, 2011.
(3) Appointed as Member of the Committee w.e.f. May 5, 2012.

**(iii) Shareholders/Investors Grievance Committee**

**(a) Composition:** The Shareholders/Investors Grievance Committee was formed to undertake the responsibilities of redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of Balance Sheet, non-receipt of declared Dividend, etc.

Javed Gaya - Chairman (Independent Director)

Indresh Narain - Member (Independent Director)

Vivek Malhotra(1) - Member (Independent Director)

(1) Resigned as Director w.e.f. May 9, 2012.

Ms. Usha T N, Company Secretary, acts as the Chief Compliance Officer.

**(b) Objective/Powers:** The Shareholders/Investors Grievance Committee approves the transfer of shares, issue of duplicate share certificates, etc. The Committee also oversees redressal of shareholders' grievances/complaints and compliance with the SEBI (Prohibition of Insider Trading) Regulations, 1992. Further, the Committee has delegated the power of transfer of shares to the Company Secretary and M/s. Universal Capital Securities Pvt. Ltd, Company's Registrars and Share Transfer agents to attend to share transfers generally once in fifteen days, which are validated by the Committee.

**(c) Meetings:** The Committee met four times during the year on May 13, 2011, August 11, 2011, November 10, 2011 and February 1, 2012. The minutes of the meetings are placed before the Board at the succeeding Board Meeting for information. Quorum was present at all the meetings.

Attendance Record in Shareholders/Investors Grievances Committee Meetings held during the year, are given below:

| Members | No of meetings | |
|---|---|---|
| | Held | Attended |
| Mr. Javed Gaya | 4 | 3 |
| Mr. Vivek Malhotra(1) | 4 | 3 |
| Mr. Indresh Narain | 4 | 4 |

(1) Resigned as Director of the Company w.e.f. May 9, 2012.

**Report of Investor Complaints received and disposed of during year ended March 31, 2012:**

| | No. of cases outstanding as on April 1, 2011 | No. of cases added during the year | No. of cases resolved during the year | No. of cases outstanding as on March 31, 2012 |
|---|---|---|---|---|
| No. of Investor issues | Nil | 3 | 3 | Nil |
| No. of legal cases | Nil | Nil | Nil | Nil |

There were no outstanding complaints pending for more than 15 days. There were no cases which were not solved to the satisfaction of the shareholders.

**(iv) Corporate Governance Committee**

(a) **Composition:**

Indresh Narain - Chairman (Independent Director)

Pankaj Agarwal(1) - Member (Non-Executive Director)

Wayne Berkowitz(2) - Member (Managing Director & CEO)

(1) Resigned as Managing Director & CEO w.e.f. February 6, 2012 and as Director w.e.f. March 31, 2012.
(2) Appointed as Member of the Committee w.e.f. May 5, 2012.

**(b) Objective:** The objective of the Committee is to ensure excellence in governance, foster exemplary standards of business conduct, and aim to achieve the highest levels of transparency, accountability and equity in all facets of operations and transactions in pursuit of increased value to stakeholders.

**(c) Terms of reference of the Corporate Governance Committee:**

(i) Review Board/Corporate Codes and make suitable recommendations to the Board from time to time.

(ii) Oversee Corporate Social Responsibility and Sustainability related issues.

(iii) Review the Structure/Charters of other Board Committees and make suitable recommendations to the Board from time to time.

(iv) Recommend best practices and standards in any particular area to the Board of Directors as per its mandate.

**(d) Meetings:** During the year, the Committee met on November 10, 2011 and all members were present.

**(v) Administration Committee**

**(a) Composition:**

Indresh Narain - Chairman (Independent Director)

Pankaj Agarwal(1) - Member (Non-Executive Director)

Narayan A. Menon(2) - Member (Independent Director)

Wayne Berkowitz(3) - Member (Managing Director & CEO)

(1) Resigned as Managing Director & CEO w.e.f. February 6, 2012 and as Director w.e.f. March 31, 2012.
(2) Appointed as a Member of the Committee w.e.f. September 30, 2011.
(3) Appointed as Member of the Committee w.e.f. May 5, 2012.

**(b) Objective:** The objective of the Committee is to enable the Directors to take faster decisions on day-to-day affairs of the Company, which would include transactions like authorization to officials, opening of bank accounts, etc. in the course of normal day-to-day business. Any such decision taken by the Administration Committee needs ratification by the entire Board in their forthcoming meeting, failing which such resolutions stand to be cancelled.

(c) **Terms of reference of the Administration Committee:** The Administration Committee is authorized to pass resolutions either at a meeting or through circular resolution relating to normal business transactions and such transactions include, but are not limited to:

(i) Appointment and authorization of employees of the Company for the conduct of day-to-day transactions.

(ii) Raise loans and cash credits for day-to-day transactions of the Company, and create charges and satisfaction of loans/charges and authorize MD & CEO or any officials of the Company.

(iii) Opening of bank accounts and authorize the officials of the Company to operate the accounts.

(iv) Principal Officer of the Company to raise such loans required from time to time for the operations of the Company.

(v) Registration of transfer of shares and authorize issue of duplicate share certificates or to delegate the authority to Company Secretary or the Share Transfer Agent.

(vi) Authorization to attend meetings on behalf of the Company.

(vii) Allotment of shares on exercise of ESOP by the employees.

(viii) Open branch offices/units and enter into lease agreements for premises.

(ix) Engage service providers for the Company.

(x) Conduct any such activities in the normal course of day-to-day business.

The frequency, notice and agenda will be set by the Chairman of the Committee.

## C. GOVERNANCE BY MANAGMENT

## OTHER DISCLOSURES:

**Related Party Transactions:**

During the year 2011-12, no materially significant related party transactions were entered into by the Company with the Directors or management or their relatives that may have a potential conflict with the interest of the Company at large. The transactions with subsidiaries were at arm's length. Notes to accounts 3.18 of the Financials as at March 31, 2012 contains a list of related party relationships and transactions as required by Accounting Standard-18 on Related Party Disclosures as specified in Companies (Accounting Standards) Rules, 2006.

**Disclosures regarding the appointment or re-appointment of Directors:**

During the year, Mr. Narayan A. Menon was appointed as the Non-Executive Independent Director on the Board of Directors of the Company w.e.f. September 30, 2011. Mr. Wayne Berkowitz was appointed as the Managing Director and CEO of the Company w.e.f. February 6, 2012. An application has been made to the Central Government for approval of Mr. Berkowitz as the Managing Director and CEO of the Company.

Further, Mr. Pankaj Agarwal resigned as Managing Director & CEO w.e.f. February 6, 2012 and from the position of Director w.e.f. March 31, 2012. Mr. Vivek Malhotra, Non-Executive Independent Director has also resigned from the Board of Directors of the Company w.e.f. May 9, 2012.

According to the Article 112 of the Articles of Association of the Company, one third of the Directors retire by rotation and if eligible, seek re-appointment at the shareholders annual meeting. Mr. Javed Gaya will retire by rotation in the ensuing AGM. The Board has recommended his re-appointment and sought shareholders approval provided in the Notice convening the AGM. A copy of his Appointment letter will be made available to the Shareholders at the venue of the meeting.

**Details of non-compliance by the Company, penalties, strictures imposed on the Company by Stock Exchanges or Securities and Exchange Board of India ('SEBI') or any statutory authority, on any matter related to capital markets, during the last three years:**

No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

## COMPLIANCE CERTIFICATES:

**Certificate on Corporate Governance:**

As required under Clause 49 of the Listing Agreement, Auditor's certificate is obtained and provided in the Annual Report.

**CEO and CFO Certificate:**

The Certificate given by the Managing Director/CEO and Group CFO as per Clause 49 in the prescribed format also forms part of this Annual Report.

**Code of Business Conduct and Ethics:**

In compliance with Clause 49 of the Listing Agreement, the Company has adopted a Code of Business Conduct and Ethics for Directors and Senior Management of the Company and its subsidiaries. All members of the Board and Senior Management Personnel have affirmed compliance with the Company's Code of Business Conduct and Ethics. A copy of the said Code of Business Conduct and Ethics is available on our website www.mindteck.com.

**Risk Management:**

The Company has laid down systems to inform Board members about the risk assessment and minimization procedures. A Risk Committee consisting of Senior Management oversees the Risk assessment and mitigation of risk. Risk Charters for all functions have been developed and Risk note is presented to the Board periodically. Thus, there have been deliberate efforts made to identify the risk exposure of the organization and mitigation therein in light of the identified risk appetite of the organization.

The risks and Company's mitigation strategies are fully described in the risk management section and these procedures are periodically reviewed by Board of Directors to ensure effective controls.

**Compliance with laws:**

Mindteck believes in commitment to values and compliance of laws which are the hallmarks of good corporate governance. Legal Compliance Management at Mindteck transcends to using compliances as a yardstick to measure and manage business risks to maximize the stakeholder's values. The Board periodically reviews the status of compliance and the Company continuously aims to be compliant of all applicable laws at all times.

**Management Discussion and Analysis:**

A Management Discussion and Analysis Report has been included in the Annual Report.

**Subsidiaries:**

The Company has no Indian non-listed subsidiary. The statement pertaining to Section 212 of the Companies Act, 1956 contains details about the subsidiary companies of Mindteck (India) Limited.

**Compliance with mandatory and non-mandatory requirements under Clause 49 of the Listing Agreement:**

The Company has disclosed all the mandatory requirements under Clause 49 of the Listing Agreement. Among the non-mandatory requirements of Clause 49 of the Listing Agreement, the Company has set up a HR & Compensation Committee and has a Whistle Blower policy in place.

**Policies and Best Practices:**

In our endeavor towards good corporate governance, we have formulated various policies and procedures to maintain transparency, professionalism and accountability in the organization.

**Code for Corporate Disclosure Practices:**

In pursuance to Clause 12(2) of Chapter IV of SEBI (Prohibition of Insider Trading) Regulations, 1992 as amended by the SEBI (Insider Trading) (Amendment) Regulations, 2002, the Company has adopted a Code for Corporate Disclosure Practices for timely, appropriate and adequate disclosure of price sensitive information. The Company, through this policy, may provide investors with direct access to analyst briefing material, significant background information and questions and answers on its website.

**Board Charter:**

Mindteck believes that corporate governance as a discipline leads to effectiveness and transparency in the functioning of any corporate entity. Towards this end, Mindteck has adopted a Board Charter which clearly defines the mission, role, structure, responsibilities and operations of the Board of Mindteck and its delegation of authority to management.

**Mindteck Code of Conduct for Prohibition of Insider Trading:**

Pursuant to Regulation 12 of the SEBI (Prohibition of Insider Trading) Regulations, 2002, the Company has formulated the "Mindteck Code of Conduct for Prohibition of Insider Trading" for regulating and preventing designated persons (as defined in the SEBI (Prohibition of Insider Trading) Regulations, 2002) from using unpublished price sensitive information to their advantage. The Company Secretary of the Company is the Compliance Officer for the purpose of this Code of Conduct and maintains a record of the designated persons. No designated person of the Company has violated this Code and no unpublished price sensitive information has been communicated or used by them.

**Whistle Blower:**

The Company has adopted a Whistle Blower Policy and has established the necessary mechanism in line with Clause 49 of the Listing Agreement with the Stock Exchanges, for employees to report concerns, alleged wrongful conduct, including unethical behavior, financial irregularities, sexual harassment infringement and misuse of intellectual property. It also provides protection against victimization of employees who avail of the mechanism and also allows direct access to the Ethical Committee and the Audit committee. The policy is displayed on the intranet of the Company.

**Software Development Centers:**

**Bangalore:**

- 16/3, Cambridge Road, Ulsoor,
  Bangalore 560 008.
- 2730, 'Trikannika', 80ft Road, Opp. CMH Hospital,
  Indiranagar, Bangalore 560 038

**Kolkata:**

- Millennium Towers, Unit: T-29C, Tower II, Level IX
  Plot No. 62, Block DN, Sector V, Salt Lake,
  Kolkata – 700 091

**Delhi:**

- 75/C (SF) Sector 18, Gurgaon,
  Haryana- 122 002

**Investor Contacts:**

**Registered Office Address for correspondence:**

**Mindteck (India) Limited**
16/3, Cambridge Road, Bangalore 560 008.
Phone+91 80 4154 8000; Fax: +91 80 4112 5813
For additional information on the Company, refer to website: **www.mindteck.com**

**For queries relating to financial statements:**

**Ramesh B V**
Financial Controller
Tel: +91 80 4154 8000 Ext. 8005.
E-mail: ramesh.venugopal@mindteck.com

**For queries relating to shares/dividend/compliance:**

**Usha T N**
VP – Legal & Company Secretary
Tel: +91 80 4154 8000 Ext. 8013.
E-mail: usha.tnram@mindteck.com

**Address of Registrar and Transfer Agents:**

**M/s. Universal Capital Securities Pvt. Ltd.,**
*(formerly M/s. Mondkar Computers Pvt Ltd)*
21, Shakil Niwas, Mahakali Caves Road,
Andheri (East), Mumbai – 400 093.
Email address: Santosh Gamare [gamare@unisec.in]

**Addresses of Regulatory Authority/Stock Exchanges:**

**Securities and Exchange Board of India**
Plot No. C4-A, G Block, Bandra Kurla Complex,
Bandra (East ), Mumbai 400 051.
Tel: +91 22 2644 9000/4045 9000

**Registrar of Companies, Karnataka**

Kendriya Sadan, Kormangala,
Bangalore 560 034.
Tel: +91 80 2563 3105
E-mail: roc.bangalore@mca.gov.in

**Bombay Stock Exchange Limited**
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001.
Tel: +91 22 2272 1233

**Depository for Equity Shares-India:**

**National Securities Depository Limited (NSDL)**
Trade World, A Wing, 4th and 5th floors,
Kamala Mills Compound, Senapathi Bapat Marg, Lower Parel,
Mumbai 400 013.
Tel: +91 22 2499 4200

**Central Depository Services (India) Limited (CDSL)**
Phiroze Jeejeebhoy Towers, Dalal Street, Fort,
Mumbai 400 001.
Tel: +91 22 2272 3333

## D. GOVERNANCE TO SHAREHOLDERS

**Corporate Profile:**

Mindteck (India) Limited was incorporated in Mumbai in 1991 as Hinditron Informatics Limited under the Companies Act, 1956. We changed our name to Mindteck (India) Limited in September, 1999. Later on, in the year 2006, the registered office of the Company was shifted from Mumbai to Bangalore. The CIN of the Company is L30007KA1991PLC039702 and the address of our registered office is 16/3, Cambridge Road, Bangalore 560 008, Karnataka, India.

**Forthcoming Annual General Meeting (AGM):**

AGM for the year 2011-12 is scheduled on August 7, 2012 at 3.00 p.m. at St. Marks Hotel, 4/1, St. Mark's Road, Bangalore – 560001.

**Location and time of last three AGMs held**

| Date of AGM | Time of AGM | Location |
|---|---|---|
| September 11, 2009 | 4.00 p.m. | Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 400 042 |
| August 11, 2010 | 4.00 p.m. | Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 400 042 |
| September 22, 2011 | 3.00 p.m. | Redwood, Hotel Royal Orchid Central, Manipal Centre, 47/1 Dickenson Road, Bangalore 400 042 |

The following special resolutions were passed by the Company in its AGM/EGMs listed below:

| | |
|---|---|
| (i) EGM - Feb 05, 2008 | • Acquisition of Mindteck Singapore Pte. Ltd., Mindteck (UK) Ltd and Chendle Holdings Ltd. on cash/stock basis.<br>• Issue of equity shares to shareholders of Mindteck Singapore Pte. Ltd., Mindteck (UK) Ltd and Chendle Holdings Ltd. and other investors. |
| (ii) AGM – July 30, 2008 | • Adoption of Mindteck Employees Stock Option Scheme 2008.<br>• Extension of Mindteck Employees Stock Option Scheme 2008 to the employees of its subsidiaries across the globe.<br>• Appointment and payment of remuneration to the Company's Managing Director under the Company's Act, 1956.<br>• Issue of equity shares to shareholders of Chendle Holdings Ltd. and other investors. |
| (iii) EGM – January 19, 2009 | • Issue of equity shares to shareholders of Chendle Holdings Ltd. and other investors. |
| (iv) EGM – May 5, 2009 | • Reduction of capital by writing down share premium account. |
| (v) AGM- Sept 11, 2009 | • No Special Resolution passed |
| (vi) AGM- August 11, 2010 | • No Special Resolution passed |
| (vii) AGM- Sept 22, 2011 | • Issue of equity shares to certain shareholders of Chendle Holdings Ltd. for which the PAN has been obtained. |

There was no postal ballot taken during the year and no special resolutions were passed through the postal ballot procedure.

**Financial Calendar:** April 1, 2011 to March 31, 2012

**Book Closure dates for the forthcoming AGM:**

July 30, 2012 to August 7, 2012 (both days inclusive)

Your Company's Equity Shares are listed on the Bombay Stock Exchange Limited ('BSE') as at March 31, 2012 and Stock code is – 517344.

An Annual Listing Fee for the year ended 2012-13 (as applicable) has been paid by the Company to BSE. The Annual Custodial Fees for the year ended 2012-13 (as applicable) has been paid by the Company to NSDL & CDSL.

**Share Transfer System:**

The Company's Registrars and Share Transfer agent, M/s. Universal Capital Securities Pvt. Ltd. (formerly Mondkar Computers Private Limited), processes shares sent for transfer/transmission, etc. in two batches every month and ensures that the share transfers/transmissions, etc. are effected within stipulated time. Transfers/transmissions which are complete in all respects are processed and the certificates in respect thereof are returned to the lodger/shareholder within 15 days of lodgments.

**Secretarial Audit:**

As per the requirements of Clause 47 of the Listing Agreement and as a measure of good corporate governance practice, the Company has appointed Mr. Rajnikant Shah, Practicing Company Secretary, to undertake the reconciliation of the share capital of the Company and submit a report to BSE. The audit reconciles on a quarterly basis, the total admitted capital with National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) with the total issued and listed capital of the Company. The audit has confirmed that the total issued/paid up capital is in agreement with the aggregate total number of shares in physical form and the total number of dematerialized shares held with NSDL and CDSL.

**Dematerialization of shares and liquidity:**

The Company's shares are compulsorily traded in dematerialized form and are available for trading on both the depositories in India viz. NSDL and CDSL. Equity Shares of the Company representing 97.74% of the Company's equity share capital are dematerialized as on March 31, 2012. The Company continues to facilitate requests for dematerialization of shares on a regular basis and the request can be routed through our RTA agent M/s. Universal Capital Securities Private Limited (formerly Mondkar Computers Private Limited). Under the Depository system, the International Securities Identification Number (ISIN) allotted to our shares is INE110B01017.

**Investor's complaints**

| Name of the Complaint | 2011-12 | | 2010-11 | |
|---|---|---|---|---|
| | Received | Attended | Received | Attended |
| No. of investors issues | 3 | 3 | 4 | 4 |
| No of legal cases | Nil | Nil | Nil | Nil |

There are no legal proceedings related to disputes in the matter of Shares of the Company.

**Shareholding Pattern as on March 31, 2012:**

| | No. of shares | % of holding |
|---|---|---|
| Shareholding of Promoter | 16,169,857 | 65.02 |
| Bodies Corporate/Financial Institutions | 116,562 | 0.47 |
| Individuals | 1,215,600 | 4.89 |
| NRI/OCBs | 2,200,469 | 8.85 |
| Clearing Members | 8,630 | 0.03 |
| Foreign National | 98,783 | 0.40 |
| Foreign Corporate Bodies | 3,790,415 | 15.24 |
| Mindteck Employees Welfare Trust | 416,000 | 1.67 |
| Mindteck Investors Trust | 852,156 | 3.43 |
| **TOTAL** | **24,868,472** | **100.00** |

**Shareholders holding more than 1% Share Capital of the Company (other than promoters of the Company):**

| Sr.No. | Name of shareholders | No. of shares | % of holding |
|---|---|---|---|
| 1 | Banco Efisa S.A. | 2,726,668 | 10.96 |
| 2 | Infotech Ventures Ltd. | 261,747 | 1.05 |
| 3 | Tadhamon International Islamic Bank | 802,000 | 3.22 |
| 4 | Mahesh Tharani | 320,149 | 1.29 |
| 5 | Pankaj Agarwal* | 1,199,900 | 4.82 |
| 6 | Mindteck Employees Welfare Trust | 416,000 | 1.67 |
| 7 | Mindteck Investors Trust | 852,156 | 3.43 |

* Resigned as Managing Director & CEO w.e.f. February 6, 2012 and as Director w.e.f. March 31, 2012.

**Distribution of Shareholding as on March 31, 2012:**

| | As on March 31, 2012 | | | | As on March 31, 2011 | | | |
|---|---|---|---|---|---|---|---|---|
| Range | Shareholders | | Shares | | Shareholders | | Shares | |
| No. of Shares | Numbers | % to Total | Numbers | % to Total | Numbers | % to Total | Numbers | % to Total |
| 1 – 500 | 7,091 | 95.38 | 469,202 | 1.89 | 7,265 | 95.656 | 485,597 | 1.961 |
| 501 – 1,000 | 171 | 2.30 | 136,262 | 0.55 | 167 | 2.199 | 135,342 | 0.546 |
| 1,001 – 2,000 | 65 | 0.88 | 94,857 | 0.38 | 68 | 0.895 | 99,664 | 0.403 |
| 2,001 – 3,000 | 25 | 0.34 | 60,735 | 0.24 | 23 | 0.303 | 55,984 | 0.226 |
| 3,001 – 4,000 | 19 | 0.26 | 68,771 | 0.28 | 15 | 0.197 | 55,017 | 0.222 |
| 4,001 – 5,000 | 7 | 0.09 | 31,100 | 0.12 | 8 | 0.105 | 36,405 | 0.147 |
| 5,001–10,000 | 27 | 0.36 | 209,044 | 0.84 | 22 | 0.290 | 175,016 | 0.707 |
| 10,001 & above | 29 | 0.39 | 23,798,501 | 95.70 | 27 | 0.355 | 23,722,568 | 95.788 |
| **Total** | **7,434** | **100.00** | **24,868,472** | **100.00** | **7,595** | **100.00** | **24,765,593** | **100.00** |

**Unclaimed Dividend:**

Section 205 of the Companies Act, 1956, mandates that companies transfer Dividend that has been unclaimed for a period of seven years from Unpaid Dividend Account to the Investor Education and Protection Fund (IEPF). In accordance with the following schedule, the Dividend for the years mentioned as follows, if unclaimed within a period of seven years, will be transferred to IEPF.

| Dividend Year | Type of Dividend | Dividend rate | Date of Declaration | Due date for transfer to IEPF | As per the financials[(1)] (Rs.) |
|---|---|---|---|---|---|
| 2004-05 | Final Dividend | 6% | 29/07/2005 | 20/11/2012 | 121,162 |
| 2005-06 | Final Dividend | 10% | 28/08/2006 | 20/12/2013 | 71,447 |
| 2006-07 | Final Dividend | 10% | 28/09/2007 | 23/01/2015 | 83,875 |
| 2007-08 | Final Dividend | 5% | 30/07/2008 | 23/11/2015 | 46,267 |
| **Total** | | | | | **322,751** |

[(1)]Amount unclaimed as at March 31, 2012

The shareholders may please write to M/s. Universal Capital Securities Pvt. Ltd before due dates to claim their unclaimed dividend. Shareholders are cautioned that once unclaimed dividend is transferred to IEPF, no claim shall lie in respect thereof with the Company. The statement of unclaimed dividend as on March 31, 2012, as prescribed under Form 5 INV, has been posted on the website of the Company.

In accordance with the above provision, during the year Rs. NIL has been credited to the Investor Education and Protection Fund Account.

**Communication to the Shareholders:**

**(i) Quarterly Results:**

The Company has published its quarterly financial results in the Financial Express (English) all editions and Udayavani (Bangalore Edition - Kannada) newspapers during the year ended March 31, 2012. The results have also been submitted to the Bombay Stock Exchange where the Company's equity shares are listed and posted on the Company's website www.mindteck.com.

**(ii) News Releases and Presentations:**

Official news releases, detailed presentations made to media, analysts, etc. are displayed on the Company's website: www.mindteck.com

**(iii) Website:**

The Company's website www.mindteck.com contains a separate dedicated section "Investors" where all the shareholders' information is available along with the full Annual Report of the Company.

**(iv) Annual Report:**

The Annual Report of the Company, containing the annual audited financial statements, both standalone and consolidated, along with the Auditors' Report thereon, the Director's Report, Management Discussion and Analysis Report and other important information, is circulated to the shareholders of the Company. We will be shortly sending the financial updates to all investors whose e-mail ID is registered/ made available to us as per the guidelines of the "Green Initiative" instituted by Ministry of Corporate Affairs.

**(v) Soft Copies:**

As you are aware, the Ministry of Corporate Affairs (MCA) has taken a "Green Initiative in Corporate Governance" (Circular No. 17/2011 dated 21.04.2011 and Circular No. 18/2011 dated 29.04.2011) by allowing paperless compliances by companies through electronic mode. Thus, companies are now permitted to send various notices/documents, including Annual Reports to its shareholders, through electronic mode. We request all shareholders to be a part of this "Green Initiative" and please update your Email IDs for all future correspondence with your respective DP's (for shares held in Demat form) or Email IDs of our RTA agents, viz. Universal Capital Securities Private Limited by sending a mail to Mindteck.investors@unisec.in or to the Company to usha.tnram@mindteck.com. The soft copy of the Annual Report will be made available on the website of the Company. You can also opt for a physical copy, by writing to usha.tnram@mindteck.com. If not opted, it is deemed to be accepted to send a soft copy though e-mail.

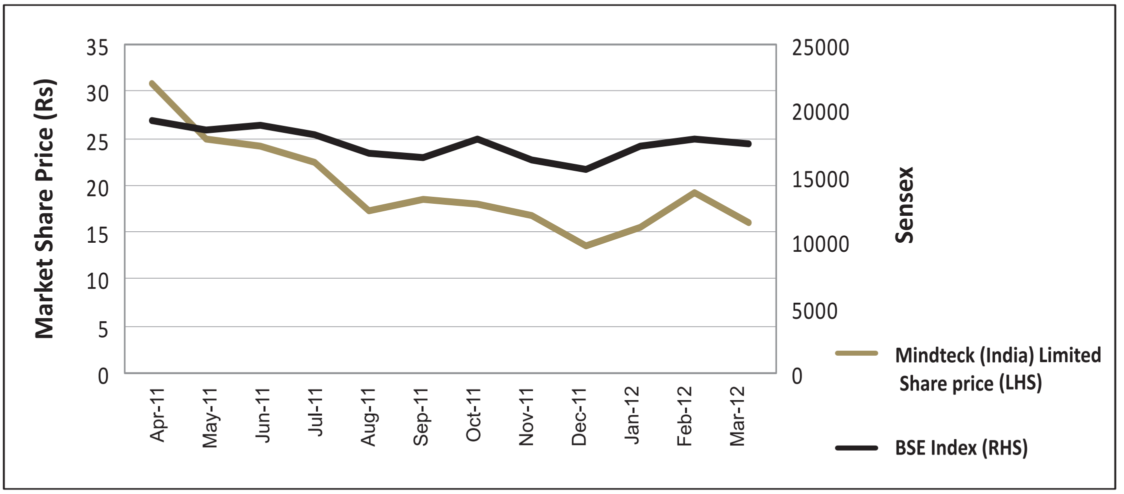
**Market Price Data: High, Low of Company's equity shares on the Bombay Stock Exchange, Mumbai during each month in the year ended March 31, 2012:**

| | Sensex | | Share Price | | Trade | |
|---|---|---|---|---|---|---|
| Month | High | Low | High (Rs.) | Low (Rs.) | No. of shares traded | Value (Rs.) |
| April 2011 | 19,811.14 | 18,976.19 | 32.20 | 27.00 | 77 | 163,070 |
| May 2011 | 19,253.87 | 17,786.13 | 32.00 | 23.85 | 115 | 261,203 |
| June 2011 | 18,873.39 | 17,314.38 | 26.55 | 22.05 | 169 | 960,318 |
| July 2011 | 19,131.70 | 18,131.86 | 25.85 | 21.95 | 78 | 178,595 |
| August 2011 | 18,440.07 | 15,765.53 | 23.40 | 17.15 | 116 | 210,937 |
| September 2011 | 17,211.80 | 15,801.01 | 21.00 | 16.35 | 145 | 278,644 |
| October 2011 | 17,908.13 | 15,745.43 | 20.85 | 17.55 | 80 | 51,069 |
| November 2011 | 17,702.26 | 15,478.69 | 18.25 | 14.10 | 114 | 124,426 |
| December 2011 | 17,003.71 | 15,135.86 | 17.20 | 13.60 | 74 | 58,371 |
| January 2012 | 17,258.97 | 15,358.02 | 18.75 | 13.70 | 71 | 102,942 |
| February 2012 | 18,523.78 | 17,061.55 | 23.40 | 15.40 | 122 | 277,020 |
| March 2012 | 18,040.69 | 16,920.61 | 20.00 | 16.00 | 60 | 108,479 |

**Performance in comparison to broad-based BSE Index & BSE IT Index:**

| Month | Closing share price on month's last trading day (Rs.) | BSE Index | BSE IT Index |
|---|---|---|---|
| April 2011 | 30.90 | 19,135.96 | 6,144.39 |
| May 2011 | 25.00 | 18,503.28 | 5,994.41 |
| June 2011 | 24.25 | 18,845.87 | 6,100.30 |
| July 2011 | 22.40 | 18,197.20 | 5,835.44 |
| August 2011 | 17.15 | 16,676.75 | 5,061.83 |
| September 2011 | 18.60 | 16,453.76 | 5,275.23 |
| October 2011 | 17.90 | 17,705.01 | 5,828.26 |
| November 2011 | 16.70 | 16,123.46 | 5,499.09 |
| December 2011 | 13.60 | 15,454.92 | 5,751.93 |
| January 2012 | 15.42 | 17,193.55 | 5,777.71 |
| February 2012 | 19.20 | 17,752.68 | 6,161.06 |
| March 2012 | 16.00 | 17,404.20 | 6,081.87 |

**Performance of Mindteck shares in comparison to BSE Index:**




*(Source data: www.bseindia.com)*

On behalf of the Board of Directors

Bangalore
Date: June 25, 2012

**Wayne Berkowitz**
Managing Director & CEO

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# DECLARATION REGARDING COMPLIANCE BY BOARD MEMBERS AND SENIOR MANAGEMENT PERSONNEL WITH THE COMPANY'S CODE OF CONDUCT

This is to confirm that the Company has adopted a Code of Business Conduct and Ethics for its Senior Management including the Managing Director and Non-Executive Directors. I confirm that the Company has in respect of the financial year ended March 31, 2012, received from the Senior Management Team of the Company and the Members of the Board a declaration of compliance with the Code of Business Conduct and Ethics as applicable to them.

Bangalore
May 5, 2012

Wayne Berkowitz
*Managing Director & CEO*